Solar Industries India Ltd

Concall Tracker, Q1-2027 update | Screener ticker: SOLARINDS | Prepared 6 Nov 2026 | Coverage capped at calls held by 30 Sep 2026 | Builds on the Q4-2026 report

1. Snapshot

What it does: Solar is the world's biggest single-site maker of industrial explosives (the stuff miners use to break rock), and it has grown a fast second business in defence: rocket propellant, ammunition, the Pinaka rocket, drones and counter-drone systems. It sells in 30+ countries to miners, governments and armies.

₹1.68 lakh cr
Market value. A very large company.

₹3,668 cr
Q1 FY27 sales (Apr-Jun 2026, consolidated). Up 70% on ₹2,154 cr a year ago. Its biggest quarter ever.

₹666 cr
Q1 FY27 net profit (consolidated). Up 89% on ₹353 cr. What it kept after every cost.

27.9%
Q1 operating margin (EBITDA = profit before interest, tax and depreciation, as a share of sales). Right on the ~28% management guides to.

₹21,350 cr
Order book: work won but not yet billed. About a year and a half of this year's guided sales.

~121x
Price-to-earnings on Screener's standalone numbers. You pay a lot for each rupee of profit. It's priced for big growth.

Data note: Screener's tables are the standalone parent only (Q1 FY27 sales ₹1,656 cr). Management runs and reports the group on a consolidated basis, which includes the defence and overseas subsidiaries. This report uses the consolidated numbers from the company's Q1 FY27 results deck.

2. Concall coverage

Quarter	Date	Read?
Q4 FY23 → Q3 FY26 (12 calls)	May 2023 - Feb 2026	Carried forward from the Q4-2026 report
Q4 FY26 (prior boundary)	15 May 2026	Read in the Q4-2026 report
Q1 FY27 results	13 Aug 2026	No call transcript was filed (Screener lists the Aug 2026 call with only a deck). We read the results deck in full plus the press coverage of management's comments ★
Business update call (Omnia deal)	15 Sep 2026	Newly deep-read in full ★

Only the new material was read in full this time. The backstory from 2023 to May 2026 comes from the Q4-2026 report. A Q2 FY27 call held in Nov 2026 is outside this report's window and was not used. Because the Q1 call has no transcript, management's own words this quarter come mostly from the September deal call, which was about the acquisition and did not take questions on the running business.

2b. Latest concall highlights: Q1 FY27 (results 13 Aug 2026) and the 15 Sep 2026 deal call

- **Record quarter.** Sales ₹3,668 cr (up 70%), operating profit ₹1,024 cr (up 82%), net profit ₹666 cr (up 89%). Every line was the highest Solar has ever printed.
- **All three engines fired.** Defence ₹933 cr (up 123%, now about a quarter of sales). Overseas explosives ₹1,364 cr (up 65%). Indian explosives ₹1,361 cr (up 52%), a sharp bounce after last year's monsoon-hit mining. Plain read: this wasn't only a defence story this quarter.
- **Guidance held.** Management says it's on track for ₹14,000 cr of FY27 sales. About ₹450 cr of the ₹2,050 cr plant budget was spent in Q1. Plain read: a quarter of ₹3,668 cr, kept up, gets there.
- **The big news: a ~$1.35 bn all-cash bid for Omnia Holdings (South Africa).** Omnia makes mining explosives (BME brand), ammonium nitrate (Solar's key raw material) and crop-nutrition products. Management says the combined group could do over ₹30,000 cr of sales and ₹6,800-7,000 cr of operating profit in FY28, with debt kept under two times operating profit and no new shares issued. Still needs shareholder and regulatory approval.
- **Tone:** very confident. On the deal call the CEO said defence spending "is going to go up and up", not down.

2c. Business mix & capacity

Mix (Q1 FY27 sales): Indian explosives 37%, overseas explosives 37%, defence 26%. Plain read: almost two-thirds of sales come from outside Indian mining. **Capacity:** management no longer gives one utilisation number (too many products and plants). New plants: Dhule (West) commissioned, Dholpur (North) expanding, Odisha coming up. Plain read: capacity is being built ahead of demand. If Omnia closes, the manufacturing footprint goes from 11 to 25 countries.

2d. Since our last report

Builds on the **Q4-2026 report** (boundary call 15 May 2026). Prior verdicts: **trigger YES**, **consistency YES (with a caveat on defence targets)**.

Prior read	What we said then	What the new material shows	Movement
Trigger: YES	Defence and exports are live, real drivers.	Defence up 123%, overseas up 65%, and Indian explosives recovered too.	Confirmed
Consistency: YES with caveat	Big-picture delivery is good. Yearly defence targets tend to slip.	Sales guide held after a record quarter. Defence Q1 was ₹933 cr, below the ~₹1,125 cr a quarter the ₹4,500 cr goal needs, and lower than Q4's ₹1,008 cr.	On-track (defence watch stays)
FY27 ₹14,000 cr sales goal	Big jump from ₹9,838 cr.	Q1 run rate already ahead of it.	On-track
Inventory build (~₹1,600 cr)	Expected to unwind over ~2 quarters.	Not addressed in the material we could read.	Unknown
Capex ₹2,050 cr	Was cut once before.	₹450 cr spent in Q1, about on pace.	On-track
New: Omnia deal	Not on the radar.	Large debt-funded buy that changes the size and shape of the group.	New risk and new driver

Verdict change: both verdicts unchanged. The numbers confirm the trigger. Consistency stays YES because sales and margin are tracking guidance, but the defence-target caveat hasn't gone away, and the Omnia deal adds execution risk that the next few quarters will test.

3. Earning Trigger thesis

Solar has two engines on top of a cash-making explosives core: defence, sitting on about ₹18,000 cr of defence orders with Pinaka now billing, and overseas explosives, which keep growing fast. This quarter the core Indian business joined in after a weak FY26. Omnia, if it closes, would roughly double the mining-explosives business and bring raw-material supply in-house from FY28. It also brings a low-margin crop business and a lot of debt.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Defence (Pinaka, propellants, ammunition, drones)	Cross ₹4,500 cr in FY27. Capital for defence "going to go up".	Q1 ₹933 cr, up 123%. Defence order book ~₹18,000 cr.	Live, multi-year	Strong. Real ramp, yearly target looks stretched.	Unchanged
Overseas explosives	Keep growing ~30%.	Q1 up 65%, now as big as the Indian business.	Live	Strong. Over-delivering again.	↑ Improving
Indian mining explosives	Recovery as coal demand picks up.	Q1 up 52% after a weak FY26.	Ongoing	Moderate. Cyclical and monsoon-hit.	↑ Improving
Omnia acquisition	Combined FY28 sales over ₹30,000 cr, operating profit ₹6,800-7,000 cr, debt under 2x.	Signed, not closed. Numbers are management estimates.	FY28	Unproven. Big but untested.	New

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
FY26 sales	Cross ₹10,000 cr	₹9,838 cr, within 2%	Delivered
FY26 margin	~27%	27.95%	Delivered
FY26 defence	Over ₹3,000 cr	₹2,634 cr	Missed
FY24 defence	₹800 cr, cut to ₹650 cr	~₹517 cr	Missed
Pinaka order	"Imminent" for ~2 years	Signed 2025, billing from Q4 FY26	Delivered late
Exports	15-20% a year	+18% FY25, +32% FY26, +65% Q1 FY27	Delivered+
FY27 sales ₹14,000 cr, margin ~28%	Set May 2026	Q1 ₹3,668 cr at 27.9%	On track
FY27 defence ₹4,500 cr	Set May 2026	Q1 ₹933 cr, a bit below the needed pace	Too early
Omnia combined FY28 targets	Set Sep 2026	Deal not closed	Too early

Narrative drift: the story has stayed the same for three-plus years: defence, exports, a steady core, and a ₹20,000 cr long-term goal. Omnia is the first real change in shape, and it's a big one. It's a logical extension of the Africa business they've built since 2010, and they're paying with cash and debt rather than new shares. But it's the largest bet they've made, and it adds a farm-products business they've never run. Tone stays confident and open about risks. On the deal call the CEO named people and country risk himself.

5. Bottom line: two verdicts

Durable earning trigger? → YES vs last quarter: unchanged

Nothing moved this down, and Q1 backs it up. Sales rose 70% with every segment growing, defence more than doubled, and the order book still covers well over a year of sales. Omnia could add a second step-up in FY28, but treat that as a maybe until it closes and the debt is in hand.

Management consistent? → YES, with a caveat vs last quarter: unchanged

Sales and margin are tracking what they promised in May, and exports keep beating guidance. The caveat is the same one as before: yearly defence targets run ahead of delivery, and Q1 defence came in below the pace FY27 needs. The new watch item is Omnia. It's a large debt-funded deal and management's FY28 numbers for it are their own estimates. How they handle closing, funding and the crop business will shape this verdict next time.

Sources: Solar Industries Q1 FY27 results deck (BSE filing, 13 Aug 2026); business update call transcript on the Omnia acquisition (15 Sep 2026, via Screener/BSE); press coverage of Q1 FY27 results (Business Upturn, Business Today, 13-14 Aug 2026); Screener.in financial data; prior Q4-2026 concall-tracker report. No Q1 FY27 earnings-call transcript was published. Not investment advice.